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Kenya State Corporations Review:

Corporate Governance and Fiscal Risks of State Corporations

August 2021

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Abbreviations

CEO	Chief Executive Officer
DASQA	Directorate of Accounting Services and Quality Assurance
DBK	Development Bank of Kenya
DWU	Dock Workers Union
FY	Fiscal Year
GDP	Gross Domestic Product
GIPE	Government Investment and Public Enterprises Department
GoK	Government of Kenya
ICDC	Industrial Commercial Development Corporation
IFRS	International Financial Reporting Standards
IMF	International Monetary Fund
INTOSAI	International Organization of Supreme Audit Institutions
IPPF	International Professional Practices Framework
IPSAS	International Public Sector Accounting Standards
ISAs	International Auditing Standards
iSOEF	Integrated State-Owned Enterprises Framework
ISSAI	International Standards of Supreme Audit Institutions
KAA	Kenya Airports Authority
KBC	Kenya Broadcasting Corporation
KEMSA	Kenya Medical Supplies Authority
KenGen	Kenya Electricity Generating Company
KETRACO	Kenya Electricity Transmission Company
KPA	Kenya Ports Authority
KPLC	Kenya Power and Lighting Company
KRC	Kenya Railways Corporations
MDAs	Ministries, Departments and Agencies
NGE	National Government Entity
NT	National Treasury
OAG	Office of the Auditor General
OECD	Organisation for Economic Co-operation and Development
PFM	Public Financial Management
PIC	Public Investment Committee
PSASB	Public Sector Accounting Standard Board
ROA	Return on Assets
ROE	Return on Equity
SAGA	Semi-Autonomous Government Agency
SC	State Corporation
SCAC	State Corporations Advisory Committee
SCD	Systematic Country Diagnostic
SOE	State-Owned Enterprise
SSA	Sub-Saharan Africa

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Executive Summary

The main objective of this report is to identify policy reforms and measures to help the Government of Kenya (GoK) improve the corporate governance of commercial and non-commercial State Corporations (SCs) at the national level and reduce the fiscal risks and costs of the SCs portfolio. By doing so, this report seeks to also inform and support the GoK's fiscal consolidation efforts. The assessment is guided by the modules "Fiscal Implications" and "Corporate Governance and Accountability Mechanisms" of the World Bank's new integrated State-Owned Enterprises framework (ISOEF).

Kenya's commercial SCs sector, measured in terms of revenue as share of GDP, is with 3.5 percent of GDP¹ in FY2019/20 smaller compared to other Sub-Saharan Africa (SSA) countries (average 14 percent of GDP), however, SCs remain key to the socio-economic development in the country and are the primary vehicle for overseeing, delivering, and implementing large-scale projects. As in most SSA countries, the Kenyan commercial SC portfolio is highly concentrated. 83.5 percent of the FY2019/20 revenues were generated by the energy sector (61 percent) and the transport sector (22.5 percent) alone. Four SCs, i.e., Kenya Power and Lighting Company (KPLC), Kenya Ports Authority (KPA), Kenya Electricity Generating Company (KenGen) and the Kenya Pipeline Company generated more than two-thirds of total commercial SC revenue in FY2019/20.

Many of Kenya's commercial SCs had financial performance challenges prior to COVID-19, which in many cases were compounded through the pandemic. Around one third of commercial SCs made losses in the last three consecutive years. The aggregate operational performance of commercial SCs turned negative in FY2019/20 for the first time in recent years. Several sectors that showed performance improvements in FY2018/19, such as education, trade and tourism, transport and sugar (still loss-making, but reduced), experienced a downturn both in terms of revenue and net profits. Yet, the overall declining performance trend is mainly driven by few large SCs, some of which, despite revenue increases, showed reduced profitability due to rising expenses, such as KPLC and Kenya Railways Corporation.

The net fiscal costs of commercial SCs (in normal times) is fairly low, whilst the fiscal costs of non-commercial SCs are significant. Between FY2016/17 and FY2018/19, the annual net fiscal cost of commercial SCs was equivalent to 0.08 percent of GDP on average. While the GoK also received revenues from non-commercial SCs, the large and increasing volume of subsidies and grants –growing at an annual average rate of 18.5 percent– created average annual net fiscal costs equivalent to 3.6 percent (0.4 percent of GDP for funds).

Fiscal Exposure and risks for the GoK from commercial and non-commercial SCs has consistently and significantly increased in the last five years. The rise in grants and subsidies is attributed to the increasing dependence of non-commercial SCs on such transfers, which accounted for 5 percent of GDP in FY2019/20, whereas commercial SCs have been financing their operations increasingly through

¹ Including all Kenyan SCs (commercial, non-commercial) and funds, the share of GDP was 5.3 percent in FY2019/20.

government lending and debt guarantees. Total government lending (direct and on-lent) amounted to 8.9 percent of GDP, debt guarantees to 1.5 percent of GDP, and non-guaranteed loans to 1.6 percent of GDP in FY2019/20. The GoK has already started paying some debt service for some commercial and non-commercial SCs. SCs' low and decreasing capacity to absorb further materialization of potential downside risks is generating increased fiscal risks. Some SCs with the largest potential fiscal impact are high risk entities, most of them operating in the energy and transport sector.

Government has partially implemented reforms outlined in the Presidential Taskforce Report (2013) that can move SC management and monitoring toward global best practice, but the remaining agenda is significant. The government has made some strong efforts to implement important improvements in SC oversight, such as the creation of the “Mwongozo” governance code. However, challenges in SCs performance monitoring, including low transparency of SCs' operations and relations with the government, challenges in the internal and external audit functions, as well as fragmentation and implementation gaps of the legal framework persist. Many of the far-reaching reforms have not been implemented. As highlighted by the World Bank (2019), SC reforms are particularly challenging because of their political complexity and effects on a multitude of stakeholders. Reforms need to take into account what is politically feasible and institutionally manageable, particularly under COVID-19 crisis and recovery conditions—which, at the same time, introduces urgency and can act as a spur to change. Kenya may thus benefit from a sequenced reform approach that allows to build capacities and confidence over time to build towards far-reaching changes.

In the final section, the report presents tailored recommendations to the Kenyan context. Following the main findings, the recommendations to strengthen the performance and reduce fiscal risks of Kenya's SCs revolve around: 1) strengthening the legal framework and institutional structure; 2) improving performance monitoring; and 3) enhancing controls and transparency of SCs' operational performance and relations with the government. These three priority reform areas are in line with the staged approach to the SCs reform strategy that the NT is currently developing (GoK 2021). More specifically, this report recommends the following measures for moving these three reform areas forward:

1) Strengthening the legal framework and institutional structure

- **Implement a clear and standardized classification of SCs among all oversight agencies** to build the basis for effective oversight of SCs.
- **Address proliferation of SCs and rationalize SCs** by reducing overlapping mandates and duplications as well as direct competition of SCs with the private sector to reduce fiscal costs and improve efficiency.
- **Harmonize the legal framework** to provide for a consistent legal foundation for the exercise of oversight functions and its relations with SCs.

2) Improving performance monitoring

- **Improve reliability and timeliness of data as well as analytical capacities for improved performance and risk monitoring.**

- Adopt an IT-system to automate and systemize data collection to improve the reliability and timeliness of data and upgrade financial and fiscal risk monitoring and management.
- Increase the currently stretched analytical capacity of NT and the Inspectorate of State Corporations, both in terms of staffing and skills.
- **Improve the performance contracting design and processes for both commercial and non-commercial SCs.**
 - Define all performance indicators with high precision to ensure that real performance is captured.
 - Reduce the number of indicators to only the most relevant ones to ensure a focus on a manageable number of goals.
 - Streamline performance contracting processes by reducing the reporting lines and agencies involved to strengthen enforcement and accountability of performance targets.
 - A more coordinated approach may be achieved through requiring reports (including off-performance contracting reports) to be submitted through a common system that the agencies can access based on their responsibility and mandate.

3) Enhancing controls and transparency of SCs' operational performance and relations with the government.

- **Increase transparency and comprehensiveness of financial and fiscal reporting on SCs.**
 - Publish audited annual financial statements of SCs and the Office of the Auditor General (OAG) in a timely manner.
 - Improve annual aggregate reporting to provide a more transparent picture of the SC portfolio.
 - Improve fiscal risk reporting on SCs and expand public debt statistics to include SCs.
- **Strengthen external audit and parliamentary scrutiny.**
 - Increase OAG's outsourcing of external audits of SCs to reduce backlog.
 - Ensure the timely completion and submission of audited financial statements to the Public Investment Committee (PIC).
 - Share audited consolidated financial statements report with PIC and ensure PIC reviews all reports received to hold the government to account for its SCs related policies.
- **Enforce the Governance Code *Mwongozo* more rigorously and make compliance with it public.**

1. Introduction

Methodology

This report applies the new World Bank integrated State-Owned Enterprises Framework (iSOEF). In particular, it covers the overall landscape of the state-owned enterprises (SOEs) portfolio, including financial performance and risk analysis, and provides an analysis based on two iSOEF modules capturing key aspects of SOEs, namely “Fiscal Implications of SOEs”, (iSOEF Module 2), which offers an assessment of the main fiscal costs and risks from the SOE sector in Kenya; and the underlying “Corporate Governance and Accountability Mechanisms” (iSOEF Module 4). A particular focus was put on financial rather than operational performance and impact on household welfare (i.e., iSOEF Module 3: Distributional Impact of SOE Reform). Since market-related adverse effects of Kenya’s State Corporations were assessed as part of the Kenya Systematic Country Diagnostic 2020, this report provides limited discussion of State Corporations’ role in the market (iSOEF Module 1) and only insofar it is relevant to the scope of this assessment.

SOEs and parastatals can take a diverse range of legal and organizational forms, and the terminology used by countries to define such entities varies significantly. This report uses the Kenyan terminology of “State Corporations”, which refers to both commercial and non-commercial entities where the government controls the majority or all of the shares. While section 2.2. provides a detailed discussion of the de jure and de facto definitions and classifications used in the Kenyan context, this report uses the definition of the Consolidated National Government Investment Report FY2019/20, prepared by the Government Investment and Public Enterprises Department of the National Treasury (NT), and differentiates between commercial and non-commercial SCs accordingly:²

- i) Commercial SCs include entities that (i) generally operate on commercial principles to perform a strategic function profitably, (ii) are generally self-financing and sustaining, except in financing investment for public policy objectives; and (iii) are accountable to all stakeholders and the public through the relevant departmental and oversight committees of Parliament.
- ii) Non-commercial SCs are also distinct legal entities that are operationally autonomous from Government, however, they are expected to operate on a cost recovery basis and largely depend on monies appropriated by Parliament, levies and fees. They include regulatory agencies and statutory boards, research institutions, institutions of higher learning and referral hospitals. Non-commercial SCs deliver services on behalf of line Ministries and are funded mainly through the National Budgets in form of grants or loans from the Government (Consolidated National Government Investment Report 2019/20).

² For consistency with the Consolidated National Government Investment Report FY2019/20 and due to its fiscal relations with the Government of Kenya, East African Portland Cement, although a minority-owned company, was included in the sample of commercial SCs.

Public Funds categorized as State Corporations —e.g., the National Social Security Fund which operation is devoted to providing social protection— were assessed separately from commercial and non-commercial SCs.

This multidimensional assessment assesses the challenges and opportunities faced by commercial and non-commercial SCs in Kenya at the national level to propose recommendations to strengthen SCs' governance and performance and reduce fiscal risks and costs emanating from SCs.

Data Availability

The analysis of financial performance and fiscal relations is based on a dataset constructed for this report in collaboration with the NT. More specifically, the data for SCs are based on the database of the Consolidated National Government Investment Report for the year FY2019/20 and the Annexes of the State Corporations Reports provided by the NT. Data for public funds and other State Autonomous Government Agencies (SAGAs), that are not categorized as State Corporations, are based on the consolidated financial statements for the fiscal year FY2019/20, published by the NT. Therefore, the analysis is based mainly on pre-COVID data. While the reform agenda has been made more urgent by COVID, it is not yet possible to provide a comprehensive assessment of how the pandemic has affected the sector.

Structure of the report

The report is organized in the following 5 sections:

- I. Introduction
- II. State Corporations Landscape in Kenya
- III. Fiscal Relations with the Government
- IV. Corporate Governance and Accountability
- V. Conclusion and Recommendations

2. State Corporation Landscape in Kenya

2.1. Context and Development of State Corporations in Kenya

Since independence, the Government of Kenya (GoK) has acknowledged the importance of SCs for development with a view to accelerate economic and social development, redress regional economic imbalances, and increase Kenyan citizens' participation in the economy (GoK 1965). It marked the beginning of government investments in manufacturing, agriculture and other sectors. The role of SCs in Kenya has expanded significantly during the post-independence period, with state corporations diversifying in economic sectors ranging from key strategic sectors, such as infrastructure, to non-strategic ones, such as textiles, sugar, pharmaceuticals, radios, batteries, alcohol, vehicles, and shoes, among others. By the 1980s, the proliferation of State Corporations in Kenya had become a significant drain on the exchequer, becoming a principal cause of long-term fiscal problems. The Government acknowledged that State Corporations had exceeded their mandates (Sessional Paper No. 1 of 1986) and hence, the 1980s and 1990s were characterized by several reform measures that included substantive divestitures and privatizations. However, State Corporations today are still the primary vehicle for overseeing, delivering, and implementing large-scale projects and services. Under the government's Vision 2030, State Corporations remain strategic to the socio-economic development of the country and the government intends to use SCs to achieve the objectives of transforming Kenya into a "newly industrializing, middle-income country providing a high quality of life to all its citizens by 2030 in a clean and secure environment."

2.2. De Jure vs. De Facto Definition and Classifications of State Corporations

The State Corporations Act, Cap 446, 1986, is the overarching governing law on the establishment, fiduciary oversight on management and governance, and financial control of State Corporations. It is complemented by additional provisions of the Public Financial Management (PFM) Act 2012, Public Audit Act, Public Procurement and Asset Disposal Act, as well as various laws establishing SCs.

State Corporations as defined in the legal framework is relatively broad and captures what are commonly known as "public enterprises" or also referred to as "parastatals" (see Box 1). Although no commonly accepted definition of an SOE or public enterprise or state corporation exists (European Commission 2013; IMF 2014; OECD 2015), there are some shared elements: (a) the entity has its own, separate legal personality; (b) the state exercises ownership of the entity; and (c) the entity engages predominantly in commercial or economic activities. The Kenyan definition comprises commercial enterprises, regulatory bodies, services, universities, training institutions and research institutions. Moreover, the PFM Act and regulations (2015) outline a relatively granular classification of national and county government entities, creating a basis for a more differentiated and effective oversight regime that takes into account the heterogeneity of SCs.

Box 1: Legal Definition of State Corporations in Kenya

The State Corporations Act (section 2 and 3), defines a State Corporation as one *established by order under the State Corporations Act, an Act of Parliament, a Bank or financial institution licensed under the Banking Act or Companies Act (where the Government has all or a controlling share) or a subsidiary of a State Corporation*. A State Corporation does not include local authorities, co-operative societies, building societies or companies the Government does not wholly own or control. The Kenyan definition comprises commercial and noncommercial entities, regulatory bodies, services, universities, training institutions and research institutions. Semi-Autonomous Government Agencies (“SAGAs”) and “Funds” are largely State Corporations (SCs) established under the State Corporations Act and are not treated separately under any other law, unless exempt from the Act (e.g., the Central Bank of Kenya and the Capital Markets Authority). Public funds are provided for in two ways. The first is “national public funds” that are established as SCs under their own laws or by the State Corporations Act. The second category is “other public funds”, which are established predominantly under the PFM Act (successor of the Government Financial Management Act 2007), hence are not considered SCs, and are fully administered and controlled by the line Ministry through the accounting officer (e.g., Civil Servants Accident Claim Fund).

However, in practice, there is lack of a clear and consistently applied classification among oversight institutions, departments and reports, which complicates fiscal reporting, impedes transparency, and hampers oversight. In the Kenyan context, with a growing and increasingly complex SCs portfolio, the term State Corporation and classification have become more fluid and ambiguous. Table 1 provides an overview of the different classifications applied by the different oversight institutions and departments, none of which is in line with the PFM Act and Regulations (Legal notice No. 34; 2015). Since different reports use different classifications and terminologies, it is not always transparent what sample of public entities the reported economic data, performance and risk analyses are based on. For example, the annual Consolidated National Government Investment Report FY2019/20 includes minority-owned company East Africa Portland Cement – even though legally it is not defined as SC –, while excluding SCs such as the Development Bank of Kenya (DBK). DBK is a large commercial bank, a subsidiary of the Industrial Commercial Development Corporation (ICDC), which holds 89.3 percent of shares, and therefore by definition a SC.³ Depending on what entities are considered SCs, portfolio and number of SCs, fiscal risks, and SC portfolio performance may change, with possible implications for effective resource allocation, oversight of SCs and related fiscal risk management.

³ Notably, other ICDC subsidiaries such as Agro-Chemical and Food Company Limited are included in the report and DBK is included in the Consolidated Financial Statements FY2019/20.

Table 1: Classifications applied by the key oversight institutions

Oversight Entity/Legislation	Applied Classification	Number of SCs
Classification as per PFM Act and Regulations (Legal notice No. 34; 2015)	The PFM Act and Regulations provide for classification of national government entities (NGEs), including SCs, into: 1) NGEs (State Organs) 2) NGEs/Government Owned Enterprises operating on the basis of commercial principles entities 3) National Government Regulatory Agencies 4) NGEs (which includes Executive Agencies, Research Institutions, Public Universities, Public Tertiary Education and Training Institutions, National Referral Health Institutions, Fund Management Corporations and any other entities established to perform any other public function) 5) Boards and Commissions (whether fully or partially funded by the exchequer) and 6) national public funds.	
The Inspectorate of State Corporations	Applies the Guidelines on Terms and Conditions of Service for State Corporations (2004), which classify SCs into 8 broad functional categories based on mandate and core function: 1) Financial 2) Commercial/Manufacturing 3) Regulatory 4) Public Universities 5) Training and Research 6) Service 7) Regional Development Authorities 8) Tertiary Education and Training	Over 220
The State Corporations Advisory Committee (SCAC)	SCAC applies the same classification as the Inspectorate of State Corporations based on the Guidelines on Terms and Conditions of Service for State Corporations (2004).	Over 220
The NT – Government Investment and Public Enterprises Department (GIPE)	The Consolidated National Government Investment Report, FY2019/20, prepared by GIPE, reports on 247 SCs and 14 minority-owned companies, including entities such as commercial enterprises, regulatory bodies, commissions and universities and other learning institutions. It differentiates between commercial and non-commercial SCs.	247 SCs
The NT – Directorate of Accounting Services and Quality Assurance (DASQA)	The Consolidated Financial Statements of SCs, SAGAs and Public Funds FY2019/20, published by the DASQA, adopts a narrower definition of SCs than the Consolidated National Government Investment Report FY2019/20. It classifies Universities and Other Learning Institutions separately from SCs and SAGAs. There is no differentiation between commercial and non-commercial SCs.	• 199 SCs & SAGAs • 72 Universities & Other Learning Institutions = Total of 272

The IMF (2016) highlights that a clear definition and standardized classification of state corporations and other public entities based on the economic nature of an entity is essential for the effective oversight and management of SCs. There is a fundamental difference between commercial and non-commercial entities, financial and non-financial SCs, regulatory agencies, funds, and other state entities, because their mandates, activities and financial relations with the Government are different. It is

therefore important to consistently and clearly distinguish between commercial SCs and other public entities according to their economic character in terms of management, evaluation, and reporting.

2.3. Kenya's State Corporation Portfolio

As of 2020, Kenya's State Corporation portfolio consists of 247 majority-owned SCs and 15 government-linked corporations where the Government holds minority shares. Of the majority-owned SCs, 46 are commercial and 201 non-commercial.⁴ In a recent paper (World Bank 2018), commercial State Corporations' revenues account for an average of 14 percent of GDP⁵ in Sub-Saharan Africa (SSA) against 3.5 percent in Kenya.⁶ In some small, less diversified, or resource dependent countries, such as Seychelles, Angola, or Lesotho, SCs' revenues average to 30-40 percent of GDP. In contrast, in larger and more diversified economies, such as South Africa and Namibia, SCs account for only 3 to 10 percent of output. In FY2018/19, prior to COVID-19, commercial SCs' revenue as a share of GDP accounted for 4.1 percent of GDP in Kenya. As in most SSA countries, the Kenyan commercial SC portfolio is highly concentrated; 83.5 percent of the FY2019/20 revenues were generated by the energy sector (61 percent) and the transport sector (22.5 percent) alone, accounting for around 3 percent of GDP (see table 2). Both sectors have also by far the largest commercial SC assets (Figure 1). Four SCs, i.e., Kenya Power and Lighting Company (KPLC), Kenya Ports Authority (KPA), Kenya Electricity Generating Company (KenGen) and the Kenya Pipeline Company generated more than two-thirds of total SC revenue in FY2019/20.

Figure 1: Assets of Commercial SCs by Sector, FY2019/20

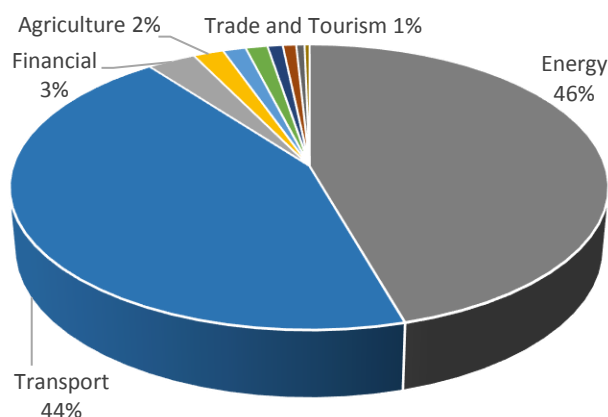


Table 2: Revenue of Commercial SCs by Sector, FY2019/20

Sector	In Ksh million	% of GDP
Energy	225,307	2.14%
Transport	82,995	0.79%
Financial ⁷	24,842	0.24%
Agriculture	19,373	0.18%
Education	5,535	0.05%
Trade & Tourism	3,117	0.03%
Sugar	2,637	0.03%
Construction	2,475	0.02%
Communication	2,278	0.02%
Lands & Housing	1,008	0.01%
Total	369,567	3.51%

Source: World Bank Staff calculations based on data provided by NT

Many of Kenya's commercial SCs have been negatively impacted by the COVID-19 pandemic. Having recorded net profits of Ksh 18,213m in FY2019/20 (0.18 percent of GDP), commercial SCs made losses of

⁴ As described above, the number of SCs varies by oversight agency. The numbers in this report are based on data provided by NT.

⁵ For a sample of 28 countries.

⁶ Including all Kenyan SCs (commercial, non-commercial) and funds, the share of GDP was 5.3 percent in FY2019/20.

⁷ The financial sector includes state-owned banks.

Ksh 9,484m in FY2019/20 (Figure 2). The aggregate operational performance of commercial SCs turned negative for the first time in recent years. Several sectors that showed performance improvements in FY2018/19, such as education, trade and tourism, transport and sugar (still loss-making, but reduced), experienced a downturn both in terms of revenue and net profits (Figure 3). Figure 4 shows that the large variation in performance has been caused mainly by five SCs, three of them belonging to the transport sector: Kenya Railways Corporation (KRC), KPA and the Kenya Airports Authority (KAA). While the declining performance of the last two SCs can be attributed to a large degree to the COVID-19 related slowdown in the transport industry (they still count amongst the most generally profitable SCs), KRC's poor performance was largely driven by rising expenses (71 percent) between FY2018/19 and FY2019/20, outpacing revenues which, despite the pandemic, increased by 38 percent. KRC's losses of Ksh 24,178m are responsible for 57 percent of total commercial SC losses in FY2019/20. If KRC's losses are excluded from the sample, commercial SCs demonstrate a sharply declining but still positive operational balance (Figure 2).

Figure 2: Net Profit/Loss in Ksh million

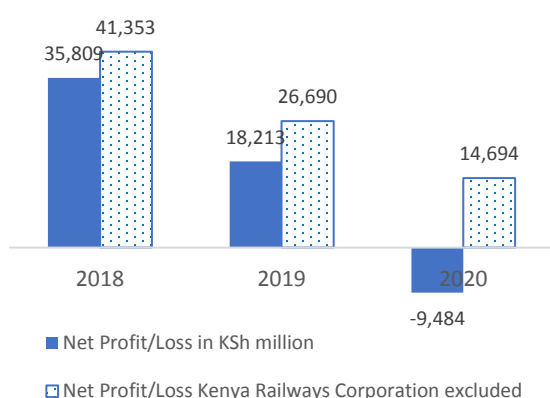
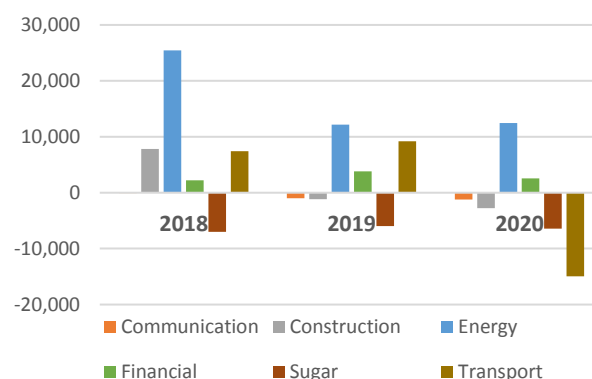


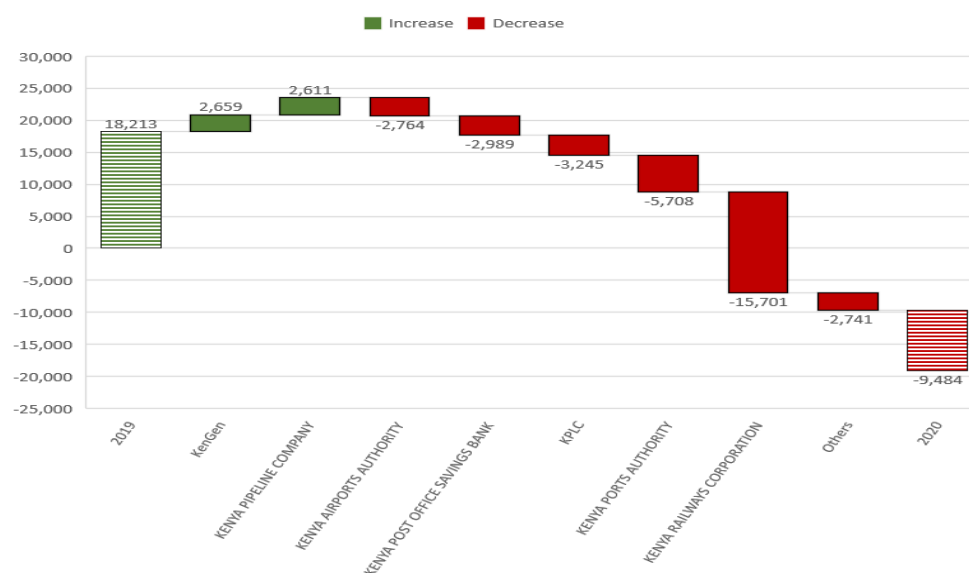
Figure 3: Net Profit/Loss by Sector, in Ksh million



Source: World Bank staff computations based on data provided by NT

Figure 4: Main source of variation in profits, in Ksh million, FY2018/19-FY2019/20

(Note: While KPA and KAA's profits declined, they still made profits in FY2019/20)



Kenya's commercial SCs net profits fell by half in FY2018/19, indicating pre-existing financial performance challenges which were only exacerbated by COVID-19. The weakening aggregate performance of commercial SCs, even before COVID-19, is visible in declining profitability ratios, such as the return on equity (ROE), return on assets (ROA) and net profit margin (Annex 1). Around one third of commercial SCs made losses in the last three consecutive years. For example, no majority-owned sugar company closed the financial year with a positive balance since FY2015/16. The declining trend in profits is, however, mainly driven by some of the largest SCs. For example, KPLC increased revenue by a total of 26 percent between 2014 to 2019, but because of increased power purchase costs (+24 percent) and operating expenses (+96 percent), this has not led to increased profitability (IMF 2020). The increase in operating expenses was driven by staffing, depreciation and the provision for debtors. Consequently, even though KPLC turned unprofitable only in FY2019/20 (recording Ksh 2,983m in losses), this was the culmination of a steady decline in net profits in previous years, from Ksh 3,269m in FY2017/18 to Ksh 262m in FY2018/19 (a 92 percent decline).⁸ Another example is KRC, which recorded Ksh 5,544m and Ksh 8,477m in losses in FY2017/18 and FY2018/19 due to rising expenses.

Ten SCs generated 98 percent of total commercial SC profits in FY2019/20 (Annex 2). KenGen is the most profitable SC, with Ksh 10,543m in net profits in FY2019/20 (32 percent of total), followed by KPA (Ksh 8,178m; 25 percent), Kenya Pipeline Company (Ksh 5,846m; 18 percent) and the Kenya Reinsurance Corporation (Ksh 3,966m; 12 percent). Despite diminished revenues in FY2019/20, both KenGen and Kenya Pipeline Company strongly improved their profits.

3. Fiscal Relations with the Government

3.1. Fiscal Costs of State Corporations

Commercial, non-commercial SCs and funds⁹ benefit from direct financial GoK support in the form of grants and subsidies.¹⁰ Total GoK grants and subsidies to SCs increased by 31.5 percent in FY2019/20 and amounted to Ksh 532,223m (Figure 5), mainly because of the additional allocation of funds to SCs in the transport sector (a 56.2 percent annual increase). Of these grants and subsidies, 45 percent are of recurrent nature. Being equivalent to five percent of GDP, the amount of GoK transfers is relatively high in international comparison. For example, neighboring Tanzania, with a relatively similar SC portfolio in terms of size (revenue and assets as a share of GDP, and number of SCs), subsidies and grants account for only 1.5 percent of GDP. Absorbing 42 percent (Ksh 224,764m) of the transfers in FY2019/20, the transport

⁸ Overall SC energy sector profits remained constant in FY2019/20 despite KPLC losses because of the improved performance of KenGen and the Kenya Pipeline Company.

⁹ The term “funds” refers to those categorized as SCs. Due to lack of data availability, SAGAs and funds that are not categorized as SCs are not included in the analysis.

¹⁰ No equity injections were made in the four years through FY2019/20.

sector receives the bulk of total government grants and subsidies, followed by the education sector (13.8 percent; Ksh 73,270m) and the social sector¹¹ (13.2 percent; Ksh 70,075m) (Figure 6).

The GoK's support of commercial SCs' through such transfers to support their operations is very low (Ksh 18,907m; 3.5 percent of total transfers in FY2019/20). Conversely, due to their economic nature, non-commercial SCs and funds are partially or wholly funded by the exchequer and receive the bulk of transfers. In the past five years, revenue transfers from the GoK to non-commercial SCs have grown at an average annual rate of 18.5 percent. The Kenya National Highways Authority and the Kenya Rural Roads Authority received more than one third of total GoK grants and subsidies in FY2019/20 (Table 3). Subsidies and grants account for 78 percent of non-commercial SCs' total revenue, showing the high reliance on GoK support (68 percent for funds), and this has increased in recent years. SCs in the water, social, other and education sectors are most dependent on GoK transfers, where GoK support accounts for more than 60 percent of total revenue.

Figure 5: Government Grants and Subsidies to State Corporations, in Ksh million

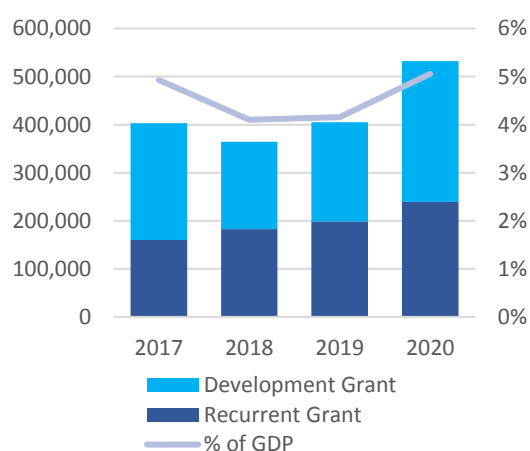
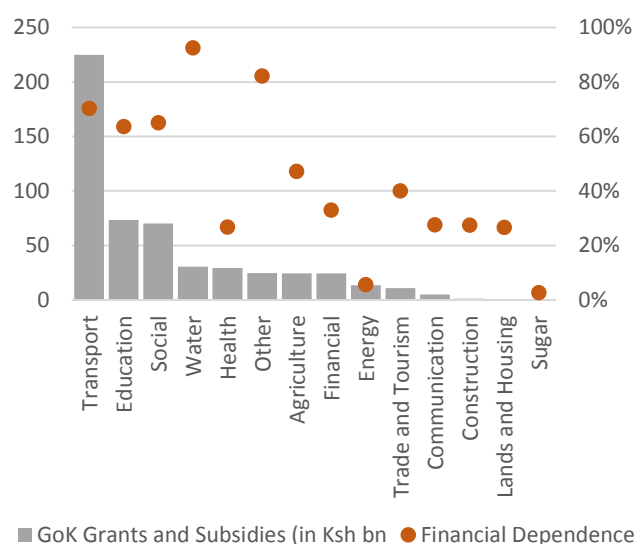


Figure 6: Subsidies and Grants by sector and SCs' Financial Dependence¹² on such transfers, FY2019/20 (Ksh billion and %)



Source: World Bank staff calculations based on data provided by NT

Table 3: Top Ten Receivers of GoK Grants and Subsidies in FY2019/20

State Corporation	In Ksh million	% of total	Sector	Category
Kenya National Highways Authority	106,390	19.99%	Transport	Non-Commercial
Kenya Rural Roads Authority	89,551	16.83%	Transport	Non-Commercial
National Government Constituency Development Fund Board (NGCDF) ¹³	41,715	7.84%	Social	Non-Commercial

¹¹ The social sector includes SCs related to sports, culture, retirement and social security, amongst others.

¹² Financial Dependence is calculated by subsidies and grants received by the SC over its total revenue.

¹³ 5 percent of this amount is used by NGCDF for operation while the balance is used for national Government projects at constituency level with NGCDF as a coordinator.

Kenya Revenue Authority	21,414	4.02%	Financial	Non-Commercial
Kenya Urban Roads Authority	19,735	3.71%	Transport	Non-Commercial
Athi Water Works Development Agency	18,256	3.43%	Water	Non-Commercial
National Youth Service	17,725	3.33%	Social	Non-Commercial
Kenyatta National Hospital	13,086	2.46%	Health	Non-Commercial
Kenya National Bureau of Statistics	10,683	2.01%	Other	Non-Commercial
Higher Education Loans Board	8,576	1.61%	Education	Non-Commercial

Source: World Bank staff calculations based on data provided by NT

Dividend payments from commercial SCs are the main source of revenue for the GoK from SCs and are concentrated in only few SCs. The government received Ksh 44,748m in dividend payments from commercial SCs in FY2019/20 and Ksh 70,399m with government-linked corporations combined. Four companies, Safaricom Ltd, KPA, KAA, and the Kenya Pipeline Company accounted for 86 percent of dividend payments in FY2019/20. Such concentration entails the risk of revenue loss in the event of unexpected performance downturns. Moreover, in addition to dividends, the government receives corporate income taxes, directors' fees, and returns of surplus funds, proceeds from divestures and interest on loans.

The net fiscal costs of commercial SCs (in normal times) is fairly low, whilst the fiscal costs of non-commercial SCs are significant. From FY2016/17 to FY2018/19, the annual net fiscal cost of commercial SCs was low, equivalent to 0.08 percent of GDP on average. The government spent on average 0.27 percent of GDP on grants and subsidies to commercial SCs, while receiving around 0.18 percent of GDP in tax and non-tax revenues (Table 4). These figures constitute a conservative estimate of the full fiscal cost of commercial SCs, as they do not consider indirect state support or revenues forgone from deferred or exempted taxes, non-payment of dividends or any other preferential treatment. While the GoK also received revenues from non-commercial SCs, the large volume of subsidies and grants created average annual net fiscal costs from non-commercial SCs equivalent to 3.6 percent of GDP (0.4 percent of GDP for funds).

Table 4: Net Fiscal Cost of Commercial SCs for the GoK as percentage of GDP

	FY2016/17	FY2017/18	FY2018/19
Tax Revenue	0.19%	0.17%	0.13%
Non-Tax Revenue	0.01%	0.02%	0.01%
Subsidies & Grants	0.29%	0.30%	0.22%
Net Fiscal Cost	0.08%	0.11%	0.07%

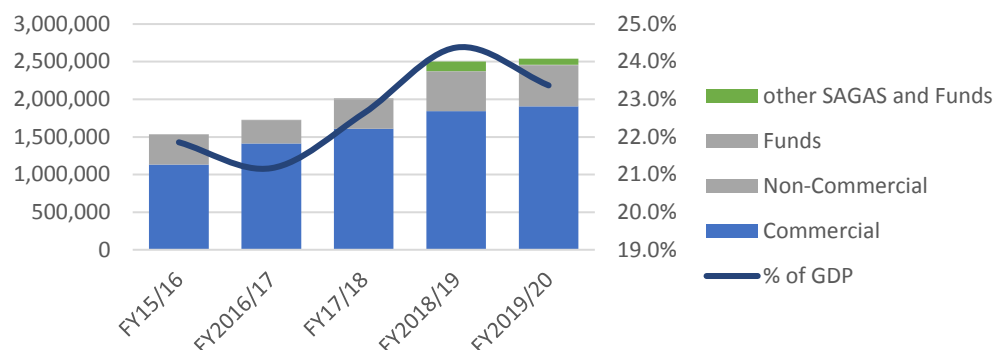
Source: World Bank staff calculations based on data provided by NT

3.2. Fiscal Risks emanating from State Corporations

The total liabilities of SCs – including commercial, non-commercial and funds– increased from 21.9 percent of GDP in FY2015/16 (Ksh 1,535,031m) to 23.4 percent of GDP in FY2019/20 (Ksh 2,459,500m), which is above the SSA average of around 20 percent (Figure 7). Including also the SAGAs and public funds that are not categorized as SCs, liabilities as a share of GDP slightly increases to 24.1 percent (Ksh

2,540,419m). This share is sizable and represents an important potential source of fiscal risk to the extent that government implicitly backstops and may find itself ultimately liable for this debt.

Figure 7: Total Liabilities of SCs and other SAGAS and Funds, in Ksh million and share of GDP



Source: World Bank staff calculations based on data provided by NT

Fiscal risks emanating from SCs can be organized in the following broad categories:

- *Explicit liabilities* are those for which the state has contractual obligations. These can be further divided into:
 - (i) direct (e.g., subsidies, on-lending); and
 - (ii) contingent, which depend on the occurrence of an event, such as for example an SC defaulting on a loan guaranteed by the state,
- *Implicit liabilities* are those for which there is a moral or political obligation for the government to respond, even in the absence of a contractual obligation, to meet public expectations. Such implicit liabilities can also be divided into:
 - (i) direct (e.g. the government assuming the cost of social security payments for SC staff); or
 - (ii) contingent (e.g., default on non-guaranteed SOE loan portfolio; bankruptcy and subsequent bail out through provision of budgetary resources, etc.).

The matrix below indicates the government's main fiscal risk exposure from SCs¹⁴ in FY2019/20.

Table 5: Fiscal Exposure for the Central Government from State Corporations in Kenya, FY2019/20

	Revenues (% of GDP)			Direct Liabilities (% of GDP)			Contingent Liabilities (% of GDP)		
		Commercial SCs	All SCs		Commercial SCs	All SCs		Commercial SCs	All SCs
Direct Revenue	Taxes paid	0.09	0.09						
	Non-Tax Revenue	0.66	0.89						
Explicit Obligations				Grants & Subsidies	0.18	5.06	Loan Guarantees	1.52	1.52
				Direct Loans	0.47	0.49			
				On-Lent Loans	7.00	8.38			
Implicit Obligations				Tax & Social Security Arrears	n.a.	n.a.	Non-Guaranteed Loans	1.47	1.56
							Other Contingent Liabilities*	9.41	12.97

Notes: All SCs includes commercial, non-commercial SCs, and funds categorized as SCs by NT.

*Other implicit liabilities = Total liabilities - (direct loans + on-lending + guaranteed loans + non-guaranteed loans)

Source: World Bank staff calculations based on data provided by NT

Government's explicit direct liabilities from on-lent loans has significantly increased in the past five years. While the GoK has procured significantly fewer new on-lent loans to SCs in FY2019/20 (Ksh 78,744m in FY2019/20 compared to Ksh 182,485m in FY2018/19), outstanding on-lent loans are high and consistently increased over the last five years (see Table 6). This is mainly attributable to KRC for the implementation of the Standard Gauge Railway. On-lent loans currently account for 8.38 percent of GDP, immediately contributing to the central government's gross debt. Total outstanding government loans to SCs, including both direct and on-lent loans, amount to Ksh 933,598m in FY2019/20 (8.86 percent of GDP in FY2019/20), a 104 percent increase since FY2015/16. Thus, GoK's risk exposure has increased significantly.

Table 6: Development of explicit GoK obligations towards SCs, in Ksh million (and % of GDP)

	FY2015/16	FY2016/17	FY2017/18	FY2018/19	FY2019/20	Amount Change (2016-2020)
Outstanding Direct Loans to SCs	62,902 (0.9%)	52,121 (0.64%)	52,685 (0.59%)	42,093 (0.43%)	51,524 (0.49%)	-18%
Outstanding On-Lent Loans	394,169 (5.61%)	572,850 (7.02%)	652,703 (7.34%)	781,949 (8.03%)	882,074 (8.38%)	124%
Outstanding Debt Guarantees	59,592 (0.85%)	130,514 (1.6%)	134,256 (1.51%)	154,802 (1.59%)	160,453 (1.52%)	169%

Source: World Bank staff calculations based on data provided by NT

¹⁴ There may be additional fiscal exposure stemming from SAGAs and other funds that are not categorized as SCs, given their amount of debt of Ksh 80,919m.

Government's explicit contingent liabilities from guaranteeing SCs' borrowing, which counts directly as public debt, has increased sharply over the past five years. Upon approval by Parliament, the government can provide debt guarantees to back SC borrowing. Guaranteed debt amount to Ksh 160,453m (1.52 percent of GDP) in FY2019/20, and increased by 169 percent in the last five years. The increase during FY2019/20 was mainly attributed to the drawdown of guaranteed loans to the Kenya Ports Authority and Kenya Airways. Kenya Airways, which has been restructured to strengthen its financial position and to support the objective of making Nairobi an international travel hub in the region, accounts for nearly half of the guarantees (Ksh 79,893m). The other half is approximately equally shared by KenGen with Ksh 41,186m and Kenya Ports Authority with Ksh 39,374m (in FY2019/20). On servicing of the guaranteed loans, the government fully paid off guaranteed loans on behalf of East African Portland Cement and Tana and Athi River Development Authority during FY2019/20, which defaulted on their obligation to repay GoK guaranteed loans (Budget Policy Statement 2021). In addition, in recent years, the GoK in FY2017/18 also repaid Ksh 739m in guaranteed debt on behalf of the financially distressed Kenya Broadcasting Corporation (KBC).

The non-guaranteed SC loan portfolio accounts for 1.56 percent of GDP in FY2019/20 and has also increased since 2016. The State Corporations Act provides SCs with the legal capacity to contract debts to finance their requirements using their assets to back the borrowing. However, as per State Corporations Act, SCs cannot borrow without approval from the GoK, i.e., NT and the parent ministry. This approval serves as internal mechanism to control unwarranted borrowings. There may be additional implicit contingent liabilities for the GoK (non-guaranteed loans excluded), which represent a moral obligation based on public expectations and political pressures, for example, a bail out following a SC bankruptcy, natural disasters (e.g., effect of droughts on energy sector SCs), or potential SCs liabilities clean-ups (e.g., in cases of privatization). In case such liabilities materialize and SCs are unable to honor them, the Government may have to fund them from the budget, especially if they affect large strategic SCs. The stock of such other implicit contingent liabilities is estimated at 13 percent of GDP.

Given the increasing explicit and implicit support provided by the GoK to SCs, the likelihood of further fiscal losses materializing from the activities of SCs is essentially a function of their performance. Specifically, avoiding fiscal risks from crystallizing will require that SCs have sufficient ability to absorb shocks to profitability, solvency, or liquidity. Unprofitable or systematically under-performing SCs will eventually require interventions from the GoK to keep them afloat.

Commercial SCs

Kenya's commercial SCs are highly and increasingly leveraged which means that most of the SCs have low capacity to absorb further materialization of the downside risks they face. Between FY2015/16 and FY2019/20, commercial SCs have been financing their operations increasingly through debt, as shown by steadily increasing debt-to-equity ratios. Total SC debt grew on average by 14 percent annually, compared to 11 percent of average annual growth in assets, and 4 percent in equity. Moreover, consistently declining current ratios show an increasing inability of commercial SCs to cover their short-term debt (those due within one year) with their current assets, indicating a higher risk of distress or default. Table 7 uses predetermined risk thresholds used by international credit ratings agencies, which are provided by

the IMF (2020) specifically for Kenya's SCs. Benchmarking Kenya's commercial SC portfolio performance on some key financial ratios against these risk thresholds illustrates that commercial SCs have been showing signs of high to very high solvency and liquidity risks for the last five years, putting them at risk of defaulting on their loans in future, creating increasing fiscal risks for the GoK (Table 7).

Table 7: Financial Risk of Commercial SCs

Type of Risk	Ratio	2016	2017	2018	2019	2020
Solvency	Debt-to-Equity	1.91	2.63	2.44	2.52	2.84
	Debt-To-Asset	0.66	0.73	0.71	0.72	0.74
Liquidity	Current Ratio	0.92	0.76	0.62	0.50	0.51

Note: Green=Low Risk; Yellow= Medium Risk; Orange= High Risk; Red= Very High Risk

Source: World Bank staff calculations based on data provided by NT

A high-level assessment of the fiscal risks of SCs indicates that three out of the five SCs with the largest potential fiscal impact can be considered risk entities (Table 8), i.e., KRC, KPLC, and Kenya Electricity Transmission Company (KETRACO). The three entities have shown increasing financial risks in recent years and accounted for two-thirds of total commercial losses in FY2019/20 and liabilities equivalent to 11.6 percent of GDP. In the case of KPLC, the IMF (2020) stresses that COVID-19-related reduced electricity consumption and sales due to closure of schools, hotels and reduced production and depressed consumer incomes to pay bills on time, compounds an already severe liquidity shortage for KPLC and could lead to the inability to meet debt repayments (currently Ksh 24bn annually) and power purchase agreements with KenGen and Independent Power Producers on time.

Table 8: Financial Performance of SCs with the largest potential Fiscal Impact in FY2019/20 (Ksh million)

State Corporation	Potential Fiscal Impact	Liabilities (% of GDP)	GoK Loans & Guarantees	Net Income	Net Worth	Debt-Asset ratio	Current Ratio	ROA
KRC	High	760,371 (7.2%)	539,270	-24,178	634	99.9%	0.27	-3.18%
KPLC	High	275,643 (2.6%)	49,238	-2,983	52,683	84.0%	0.35	-0.91%
KenGen	High	200,550 (1.9%)	87,904	10,543	213,277	48.5%	1.77	2.55%
KETRACO	High	189,456 (1.8%)	0	-963	1,754	99.1%	0.70	-0.50%
KPA	Medium	107,548 (1.0%)	37,386	8,178	187,623	36.4%	1.18	2.77%

Source: World Bank staff calculations based on data provided by NT

Note: Potential Fiscal Impact: High = SC's total liabilities more than 1% of GDP; Medium = SC's total liabilities between 0.5% and 1% of GDP; Low = SC's total liabilities less than 0.5% of GDP

Looking exclusively at the main debtors of the GoK, further fiscal losses materializing from SCs' operations in future appear likely. For example, KRC and Nzoia Sugar Company, which account for 62 percent of total outstanding GoK loans in FY2019/20, recorded losses in the last three consecutive years and some core financial ratios indicate high solvency risks and a weak liquidity position, undermining the ability to repay loans (Annex 3). In fact, the two enterprises have not made any interest or principal repayments on loans from the government in the last three years.

Non-Commercial SCs and Funds

Non-commercial SCs and funds show only medium to no financial risk at an aggregated level (tables 9 and 10), but their fiscal costs are rising thereby increasing fiscal risk for the GoK. Notwithstanding, there are several underperforming non-commercial SCs and funds in the portfolio, such as several universities, the Kenya Forest Service, the Kenyatta National Hospital, the Youth Enterprise Development Fund and the Women Enterprise Development Fund, amongst others. The GoK has already started paying debt service for non-commercial SCs, as in the case of Tana and Athi River Development Authority in FY2019/20. The increasing dependence of non-commercial SCs and funds on GoK grants and subsidies in recent years poses growing fiscal costs for the GoK.

Table 9: Financial Risk of Non-Commercial SCs

Type of Risk	Ratio	2016	2017	2018	2019	2020
Solvency	Debt-to-Asset	0.28	0.18	0.20	0.23	0.21
	Debt-to-Equity	0.40	0.22	0.26	0.30	0.27
Liquidity	Current Ratio	1.47	2.39	2.10	1.66	1.99

Note: Green=Low Risk; Yellow= Medium Risk; Orange= High Risk; Red= Very High Risk

Source: World Bank staff calculations based on data provided by NT

Table 10: Financial Risk of Funds categorized as SC

Type of Risk	Ratio	2016	2017	2018	2019	2020
Solvency	Debt-to-Asset	0.02	0.02	0.03	0.03	0.03
	Debt-to-Equity	0.02	0.02	0.03	0.03	0.03
Liquidity	Current Ratio	11.22	11.51	6.60	8.52	8.63

Note: Green=Low Risk; Yellow= Medium Risk; Orange= High Risk; Red= Very High Risk

Source: World Bank staff calculations based on data provided by NT

4. Corporate Governance and Accountability

Good corporate governance is the foundation for stable, financially healthy SCs and the key to sustainably limiting the fiscal risks and costs emanating from SCs. Following the iSOEF methodology, this section assesses the key dimensions of Kenyan SCs' corporate governance: legal and institutional framework, oversight functions, performance monitoring, boards, and controls and transparency.

4.1. Role, Establishment and Dissolution of State Corporations

Procedures for the establishment and dissolution of State Corporations are provided for in various laws and have evolved in terms of incorporating good practices. Various laws assign the President or the responsible Cabinet Secretary with powers to create State Corporations. The PFM Act (section 86) and PFM Regulations (214, 215 and 216) also provide for: (a) the guiding principles for the establishment and dissolution of State Corporations (b) Cabinet approval process and (c) the role of the National Treasury in providing recommendations on any of these decisions. In practice (in as far as establishment of SCs), a cabinet memo is prepared by the line Ministry with key inputs from NT, the State Law Office and the SCAC.

However, failures to adhere to a systematic process of establishing SCs in the past, coupled with the fluid and ambiguous definition, has led to a proliferation of SCs over the years, which entail rigidities in resource allocation that impede effective prioritization. At the same time, the existence of various pieces of legislation on dissolution makes dissolving a SC more difficult, which is exacerbated by the fact that, once established, SCs often become politicized – a common challenge worldwide.

There are currently several SCs, particularly non-commercial ones, with overlapping mandates and duplicative functions, for example, in the education and agriculture sectors, and the six regional development authorities, the mandates of which cut across many other SCs' mandates. Especially in light of increasing amounts of GoK grants and subsidies to non-commercial SCs – with an average annual growth rate of 18.5 percent between FY2015/16 and FY2019/20– and the resulting mounting fiscal costs, rationalization of SC functions could support the GoK's fiscal consolidation efforts.

The World Bank Kenya Systematic Country Diagnostic (SCD) 2020 highlights that the large presence of commercial SCs presents a major constraint to productivity gains in Kenya, as they are still crowding out the private sector, particularly new investors, while also generating a significant fiscal burden. Kenyan businesses face high levels of government intervention and direct competition from public entities in areas where there is active private sector participation –such as retail, accommodations, manufacturing, banking, insurance, and agri-processing– and where government service provision should therefore be unnecessary. Kenya has a higher degree of state intervention than the OECD average and other middle-income countries (see Kenya SCD 2020). Given the declining profitability and increasing financial risks of commercial SCs, exacerbated by COVID-19, and the increasing government lending and debt guarantees to commercial SCs in recent years, accelerating the commercial SCs rationalization agenda could help plug losses to the exchequer, release physical and human capital resources, stimulate competition and private investment, and increase overall economic efficiency.

The Presidential Taskforce Report 2013 stressed the necessity to review and rationalize commercial and non-commercial SCs with a view to consolidate functions, remove overlaps and duplications, and improve efficiency and service delivery. The recently published report by the Building Bridges Initiative Reforms Task Force (2020) underlines this need and supports taking actions to this end, including the separation of commercial activities from the non-commercial roles of policymaking and regulation and service delivery.

4.2. Ownership and Oversight Functions

While the NT is the legal owner of SC shares held by the national government, the key responsibilities of the SC ownership function are decentralized, with oversight responsibilities fragmented over a multitude of institutions. This includes the appointment of boards, provision of strategic direction, monitoring, and reporting. Key oversight entities include:

- **The National Treasury:** The National Treasury, through the Government Investment and Public Enterprises Department (GIPE), coordinates the overall management of public enterprises,

develops the strategic objectives and policies relating to the financial oversight and management of SCs, and manages the restructuring of SCs and overall reforms, amongst others.

- **Line/Parent Ministries:** The President through executive orders assigns ministerial responsibility over SCs. Line ministries are in charge of sector policies and provide directives to SCs.
- **The Inspectorate of State Corporations:** The Inspectorate, currently domiciled under the Presidency, monitors quarterly SC performance and conducts special investigations and audits.
- **The State Corporations Advisory Committee (SCAC):** SCAC is an advisory body to the President, overseeing corporate governance and SC administration and advising on the reorganization or dissolution of SCs.

While a number of laws clearly describe the oversight roles played by various institutions, how these institutions interact in carrying out their various roles and responsibilities is not clear. The Presidential Taskforce Report (2013) highlights that often the role and responsibilities of different Government departments and entities in relation to SCs are not clearly delineated, resulting in confusion. For instance, while the State Corporations Act (section 27) provides that SCAC plays a role in examining proposals by SCs to acquire interests, enter joint ventures or expand their scope of business, other Acts, such as the Kenya Airports Authority Act and the Universities Act, provide that the approval to borrow, invest surplus funds and invest in securities is provided by NT solely. While in practice institutions such as the National Treasury would be involved in providing recommendations on the fiscal implications of investments, and the State Law Office on aspects of legality, this is not expressly provided for in the various laws, and has evolved as a matter of practice. Another example is that while the State Corporations Act provides for investigative powers of the Inspector General of State Corporations (section 19), the PFM Act also assigns powers to NT to enter, access and inspect PFM systems and records for the same purpose.

The lack of clarity of how the different oversight institutions interface in carrying out their roles has a serious impact when it comes to the acquisition, management and disposal of assets. For instance, whereas the State Corporations Act (section 13(2)) anticipates the collaboration between the responsible Cabinet Secretary, NT and the SCAC on advising on the acquisition and disposal of assets for SCs, other laws, e.g., the National Social Security Fund Act, only make reference to the responsible Cabinet Secretary and the Board (with no reference to the SCAC). While State Corporations are established as corporate bodies with powers to acquire and dispose of assets, the Cabinet Secretary to the Treasury (Incorporation) Act also establishes the office of the Cabinet Secretary as a corporation which exercises residual ownership responsibilities of all assets on behalf of the Government of Kenya.

Centralized ownership and oversight arrangements are increasingly viewed as a good practice (World Bank 2014). They can bring greater professionalism to the state's ownership role by pooling specialized capabilities and scarce resources, and achieve greater transparency and accountability through better oversight and performance monitoring. For example, under a centralized ownership model, such as South Africa and Malaysia, a specialized government department or ownership entity serves as the shareholder representative with oversight responsibility for public corporations. In Malaysia, the single ownership entity (*Khazanah*) owns the SOE shares on behalf of the state and appoints boards, develops key systems and controls (such as governance, risk management, and internal audit), and monitors performance

(World Bank 2014). The adoption of a centralized model in Malaysia has led to increased growth in state enterprises' tax contributions, net profits and shareholder returns.

The GoK has made some significant reform efforts in the past years to move towards a centralized model. For example, the Government Owned Entity Bill 2014 proposed a far-reaching reform toward a centralized ownership model, including the rationalization of oversight agencies and the establishment of a holding company over commercial SCs. However, it has not been adopted yet for various reasons, as outlined in Box 3. International experience shows that entities that previously exercised ownership functions tend to resist change, which makes it difficult to transmit the ownership function to a centralized body. In addition, adopting a centralized model requires significant institutional capacities, which need to be built over time.

Box 3: Reform attempts towards a more centralized ownership and oversight model

In 2014, as response to the Presidential Taskforce Report (2013), the Government Owned Entity Bill was drafted to address challenges stemming from fragmented ownership and oversight. It proposed a centralized ownership and oversight model, including a reduction of the multiplicity of oversight institutions and the establishment of an investment holding company to exercise ownership and management oversight over commercial SCs on behalf of NT. However, this Bill is yet to be enacted into law. The Kenya Law Reform Commission faulted the Bill for being merely a re-enactment of the existing State Corporation Act, with the addition of retrogressive provisions that would stifle the operations of SCs (KLRC 2014). But reform efforts have reportedly also been blocked due to institutional disagreements and a lack of political will (The East African, 2018).

In August 2020, another reform initiative towards a more centralized model was attempted in the infrastructure sector. An executive order by the president aimed to establish the Kenya Transport and Logistics Network (KTLN) bringing together KPA, KRC and Kenya Pipeline Company Limited. The Industrial and Commercial Development Corporation was to act as a holding company and be responsible for the management of the State's investments in ports, rail, and pipeline services. The new structure aimed at lowering the cost of doing business in the country through cost effective provision of these services (GoK 2020). However, political resistance emerged, such as from the Dock Workers Union (DWU), which argued that the mergers would lead to job losses (Daily Nation 2020). In September 2020, the Senate failed to support the initiative, citing that legislation for the merger was lacking, and the reforms were postponed.

4.3. Performance Management and Monitoring

Monitoring and ensuring the enhancement of SCs' performance is one of the core functions of the State as owner. Regular and systematic evaluation of the performance of SCs is particularly important in times of economic difficulty (such as recently due to COVID-19), when many SCs become financially troubled and may attempt to negotiate support packages. It enables the state as owner to set performance standards, put pressure on poorly performing SCs, and better manage fiscal risks emanating from SCs.

Performance Contracting

The GoK has used performance contracting since 2004 as a key accountability framework in its endeavor to improve the efficiency, performance and public service delivery of SCs and other state entities. Having started with 16 SCs in 2004, all SCs are currently under performance contracts.

Performance Contract Design

There are standardized performance contracts for commercial and non-commercial SCs, including performance dimensions, indicators and reporting forms. Specific indicators and weights assigned to each dimension are adapted to the specific state corporations. The performance contract includes a vision statement, mission statement and strategic objectives of the contracted SC. With regards to performance dimensions for evaluating performance, the Kenyan case is very comprehensive compared to many countries. The new GoK Performance Contract Guidelines for FY2020/21 outline seven dimensions with financial stewardship and discipline (10%), service delivery (10%), core mandate (60%) and cross-cutting issues (13%) as the highest weighted performance dimensions.

Currently SCs identify Vision 2030 flagship projects in the performance contracts, and SCs submit progress reports to the Kenya Vision 2030 Delivery Secretariat. This fosters alignment of the priorities of SCs with the national development strategies, and thereby addresses a key recommendation by the Presidential Taskforce Report (2013). Furthermore, the new guidelines require SCs to ensure that the identified performance indicators under the Core Mandate are aligned with post COVID-19 recovery strategies.

The ability of management to cascade the SCs' priorities throughout the enterprise depends on the quality and number of the indicators used. The larger the number of indicators, the greater burden it imposes on the SCs, which detracts from the necessary focus on a manageable number of goals. The number of indicators used in Kenyan SC performance contracts is relatively high, with some having up to 38. International good practice calls for a more limited number of indicators. In addition, with COVID-19 exacerbating the financial challenges of SCs, a greater prioritization of key performance indicators to ensure a focus on critical financial and operational performance aspects is recommended.

The quality of the indicators used in the performance contracts is uneven. Good performance indicators are “specific, measurable, achievable, relevant and time-bound (SMART)” (Doran 1981). There are several of those indicators already in place, particularly those measuring financial performance. However, several indicators used are input or activity-based and are not defined with sufficient precision to ensure the reflection of true performance. This is most pronounced in the dimension with cross-cutting indicators, which according to the weighting is considered the second most relevant. For example, the performance contract of the Kenya Reinsurance Corporation LTD, on *Knowledge Management*, outlines sub-indicators such as “encourage the documentation of knowledge for future reference” and “set appropriate channels of communication for storage and transfer of knowledge.” The first is not measurable, and the latter is too vaguely defined to constitute a meaningful performance indicator. Another example is the indicator *Competence Development* “Competence/Skills needs assessment”. This is a statement rather than an indicator.

There are significant time and other costs involved in developing and evaluating a large number of indicators. Reducing the number of indicators to the most relevant ones would save cost and time to set high-quality key indicators that allow for a more accurate evaluation of actual performance.

Performance Contracting Process

In response to the effects of COVID-19, the government has made changes to the process of implementing the performance contracting cycle (GoK Performance Contract Guidelines for FY2020/21). The key players in the various processes are clearly identified, particularly the negotiations and vetting of performance contracts. However, the agencies involved throughout the process are numerous and fragmented, which can be particularly challenging during times of economic crisis and disruption, such as due to COVID-19. For example, consider the development of performance contracting guidelines, including the issuance of standardized indicators and reporting forms. This is driven by the Ministry of Public Service, negotiations are undertaken by different agents such as the line ministries, NT and several specialized agencies¹⁵, while during the evaluation process additional actors like the Inspectorate of State Corporations become involved. The newly issued GoK Performance Contract Guidelines for FY 2020/21 prescribe the involvement of multiple different agencies (more than 10 are outlined in total), to which SCs are required to submit several different performance report forms or action plans. For example, according to the Kenya National Highways Authority's current contract of FY2020/21, the SC needs to submit reports to eight different institutions. By contrast, international good practices limit reporting to no more than one or two institutions. Reporting agencies also have different frequency requirements regarding annual and interim reporting. For example, SCs submit quarterly performance reports to the Inspectorate of State Corporations, while annual performance reports are usually submitted to the Ministry of Public Service. Such fragmentation increases coordination and logistical challenges in the process and complicates effective follow-up and the enforcement of performance targets.

Cognizant of the need to streamline processes and the additional challenges from COVID-19, the Ministry of Public Service has developed an online platform to fully automate the performance contracting process. This will significantly reduce some of the coordination and logistical challenges in the process. The automated system has already been launched and will be the basis of gradual performance management enhancement. This notwithstanding, additional streamlining of some of the processes and reducing reporting lines should be considered.

Data Collection and Analytical Capacities for Performance and Risk Monitoring

Timely and reliable data on SCs are critical to performance and risk monitoring and to support policymaking, however, it remains a key challenge, particularly due to manual data collection. Most of the data currently provided by SCs are in hard copy and follow different reporting standards and formats, reflecting the heterogeneous nature of Kenya's SCs. NT staff need to first convert these into soft copy

¹⁵ These include, amongst others, the National Authority for the Campaign Against Alcohol and Drug Abuse (NACADA), National Aids Control Council (NACC), Kenya Vision 2030 Delivery Secretariat, the National Transport and Safety Authority (NTSA), Ethics and Anti-Corruption Commission (EACC), the National Council for Persons with Disabilities (NCPWD), and the Directorate of National Cohesion and Values.

form by entering data manually in Microsoft Excel. The large number of SCs and limited analytical capacity, supporting modern tools and systems, inhibits the more comprehensive analysis of SCs required to fully understand large and complex SCs. While analysis currently uses some financial metrics to assess the financial health of SCs, it remains at highly aggregated levels and does not yet use the full suite of analytical options (IMF 2020). In addition, there are significant discrepancies in financial data on individual companies between different reports, such as between the NT's consolidated financial statements and some of the companies' annual reports, such as in the case of KPLC and KenGen, amongst others. To address these challenges, the NT in consultation with the Inspectorate of State Corporations and the SCAC is currently developing an Integrated State Corporations Management Information System, which will have an SC Performance Reporting and Feedback Module and interface with the automating Performance Contracting system.

4.4. Boards of Directors

The Chair of the Board is appointed by the President, with other members appointed by the Cabinet Secretary/Minister (with some exceptions to this rule discussed below). Each Board has a representation from the National Treasury and a responsible line Ministry (through their Principal Secretaries or other designated persons). Boards also can include appointments from other Ministries Departments and Agencies as well as members of the public (who have specified qualifications, expertise and experience relevant to the mandate and operations of the State Corporation).

The State Corporation Act also empowers the President to "give directions of a general or specific nature to a board with regard to the better exercise and performance of the functions of the state corporation and the board shall give effect to those directions." As per the OECD, boards should have the ultimate responsibility for SCs' performance, for which they need the authority, autonomy, and independence to make decisions that determine performance (OECD 2013). International experience shows that strategic and operational control by the government can lead to interference with suboptimal results. In the past, Kenya has faced several challenges related to boards. For example, the Presidential Taskforce Report 2013 stressed that patronage and undue influences in the appointment of board members and executive management had bred impunity, which in turn affected performance. It also highlighted that boards have not been fully in control of CEOs, and in some cases top managers were hired directly by the ministries. This renders the board ineffective in demanding accountability from the management especially in the era of performance contracting. This is corroborated by findings from Ireri (2016) that underlined the political nature of appointment processes.

Since the weak financial performance of the majority of SCs was attributed to an inadequate governance framework, in 2015, a uniform code of governance – "Mwongozo" (from the Swahili for guide) – has been adopted. It is applicable to all SCs with the objective of strengthening the roles and responsibilities of their boards. The code draws from global best practices, including the South African King III Code and OECD Guidelines on Corporate Governance of SOEs (2005), amongst others. The provisions in the code address many challenges found in Kenya's SCs boards, such as lack of proper skills mix and bloated boards, lack of board independence, and shortcomings in the process of appointment of

boards and CEOs (see Box 4). It provides a strong framework and is an important step towards good corporate governance practices.

Box 4: Salient Features of Mwongozo in line with international best practices

Mwongozo provides provision for, among others:

- Appointment criteria for Boards (appointee needs to have sufficient expertise to perform role)
- Gazettement of all Board members by name including Government representatives
- Composition, proper mix and size of the Boards
- Roles of the Boards, Chairpersons, Board members and CEOs
- The position of Company/Corporation Secretary in all Boards
- Tenure limit for Board members and CEOs
- Maximum number of Boards any one person can serve in
- Guidelines on Board Committees
- Board induction and Evaluation mechanisms
- Succession planning and strategies
- Regulation of ethical conduct in Boards
- Requirement for Governance audits

Source: Mwongozo (2015)

Implementation of the code is on a “comply or explain” basis, recognizing that SCs are at different levels of compliance with corporate governance. Thus, SC boards prepare reports indicating the degree of compliance with the code and explain reasons for non-compliance. No information is publicly available to assess the overall compliance rate. Some recent cases show that there are still challenges related to governance of boards in SCs, but there is continued efforts to improve compliance with the Mwongozo guidelines. For example, KPLC, which has been facing financial difficulties, has still employed *several political appointees to the Board who reportedly did not understand operations of the utility company and which were removed only recently* (July 2020) (KPLC Public Notice 2020; The East African 2020).

4.5. Controls and Transparency

Financial Reporting

Ensuring high levels of transparency on SCs’ operational performance as well as on the overall SCs portfolio improves accountability and is an important enabling factor to prioritize and contain the cost of the government support to SCs. The PFM Act (2012) requires all SCs to prepare and submit quarterly financial statements (within 15 days after the end of each quarter) and annual financial and non-financial statements (within three months after the end of the FY). SCs comply with these timelines. In terms of standards, SCs carrying out commercial activities apply the International Financial Reporting Standards (IFRS), while the regulatory and other non-commercial entities apply the accrual basis International Public Sector Accounting Standards (IPSAS). The Financial Reporting Standards were promulgated by the Public Sector Accounting Standard Board (PSASB) for adoption and application with effect from July 1, 2014. The use of International Standards aims for SCs’ financial reporting to: (i) improve both the quality and

comparability of financial information reported by public sector entities around the world (ii) facilitate transparency in the financial dealings of public institutions (iii) improve consistency in preparation and reporting of financial information (iv) improve accountability and ease the audits of public institutions (v) result in stronger governance procedures. In terms of general compliance with the standards, commercial SCs who use IFRSs perform better in terms of compliance and most of them have an unqualified opinion from the Supreme Audit Institution compared to the non-commercial SCs who apply the IPSAS and have a lower compliance rate.

Public access to timely and relevant information on financial and non-financial performance is very limited. The financial statements comprise the following: (a) Statement of comprehensive income/financial performance (b) Statement of financial position (c) Statement of changes in equity/net assets (d) Statement of cash flow (e) Statement of comparison of budget and actual amount (f) Notes to the financial statements for the reporting period (g) Comparative information in respect of the preceding reporting period. However, public access to timely and relevant information on financial and non-financial performance remains a challenge. Most SCs do not upload published financial statements in a timely manner as stipulated under Section 81 (4) (b) of the PFM Act 2012. Furthermore, while the Auditor General publishes some audited financial statements of SCs on its website, this is not done in a timely fashion, with most of the latest statements dating back to 2017.

While annual aggregated reports of SCs are prepared and published, they are of limited scope and do not provide a fully transparent picture of actual developments in the portfolio. NT prepares and publishes annual aggregated reports of SCs, including also SAGAs and funds. Aggregate reporting presents the situation and performance of the SC portfolio as a whole. It represents the final link in the chain of accountability which connects the SCs to their ultimate owners, the country's citizens. In Kenya, the performance analysis presented in the reports is of limited scope. While it provides the key financial performance and position indicators, such as revenue, profits, net worth, assets and liabilities, transfers from GoK to SCs, and expenditures for each SC, the level of detail could be enhanced. For example, it does not include key information by sectors (e.g., energy, transport, agriculture) and does not distinguish between the economic nature of the SCs. There is also a lack of contextualization and analytical clarity in the information presented. For example, in the latest report, the large drop in commercial SCs' profits in FY2019/20 compared to the previous year is not presented, and since all SCs (commercial and non-commercial), SAGAs and funds are aggregated, the report presents a profit increase of 26 percent. This leads to a distorted picture of actual developments in the portfolio.

Fiscal Risk Reporting

Fiscal risk reporting is mainly qualitative and limited in scope and depth. While the aggregate report does not present exposure to risk emanating from SCs, the annual budget policy statement, which is submitted to Parliament annually, has a *Statement of Specific Fiscal Risks* in the annex that discusses explicit and implicit (contingent) liabilities as a potential source of fiscal risk. The budget policy statement 2021 provides information on GoK on-lending and guarantees to SCs, and a discussion about the aggregate amounts of contingent liabilities. However, the analysis is still mainly qualitative and limited in scope and

depth. A deeper analysis of high-risk SCs, including key financial risk indicators, and a clear and sufficiently detailed outline of direct and indirect government support or guarantees to SCs is still lacking.

Internal Audit

The internal audit is an important tool to provide independent assurance that an SC's risk management, governance and internal control processes are operating effectively. It can help to prevent the misuse of funds during the expenditure process, while also flagging issues for management action. The PFM Act 2012 Section 73 requires that every national government entity complies with the Act and has appropriate arrangements in place for conducting internal audit according to the guidelines of the Accounting Standards Board and any applicable regulations. SCs are also required by Mwongozo to establish an audit committee and employ an internal audit department that reports directly to the audit committee. The audits are carried out in accordance with the International Professional Practices Framework (IPPF) as issued by the Institute of Internal Auditors, as well as guidelines issued by the Public Sector Accounting Standards Board. This ensures uniformity and consistency across national government. For most SCs the current risk management practices support good corporate governance. However, the challenge has been adherence to the control environment set, as there have been reported cases of misappropriation of resources in some SCs. For example, the Kenya Medical Supplies Authority (KEMSA) allegedly misused millions of dollars of public funds meant for buying COVID-19 medical supplies (BBC 2020). The internal audit in most SCs can hence be strengthened to become more effective in reducing cases of misappropriation of resources in Kenya and lack of accountability by management. This in effect will also reduce the number of audit issues raised by the external auditors.

Special audits may be conducted by the Internal Auditor General from the National Treasury on SCs that have received funds from the exchequer, upon request by the Cabinet Secretary of the National Treasury. For example, Kenya Wildlife Services had an audit conducted in 2019 upon the request of the Cabinet Secretary Ministry of Environment, Water and Resources, whereas it has its own internal audit department, board and audit committee. In 2020, KEMSA had a special audit as a result of receiving exchequer and donor support via the Ministry of Health. The final report of the internal auditor, which has been deliberated on and adopted by the Audit Committee, may be copied to the auditor general/external auditor, who may choose to use those findings for purposes of scoping their work on risk assessment of an SC in the audit process.

External Audit and Scrutiny by the Legislature

Timely completion and submission of the audits to Parliament as well as parliamentary review of these audits are critical for effective decision making and accountability but remain a challenge. The role of an independent external auditor is important for reinforcing the credibility of the SCs' financial statements and compliance with regulations. The legislation governing the audit process in Kenya for SCs includes the Constitution of Kenya 2010, the State Corporations Act, The Public Finance Management Act 2012 and is guided by the Public Audit Act 34 of 2015, the INTOSAI (International Organization of Supreme Audit Institutions), International Standards on Auditing (ISAs) and International Standards of Supreme Audit Institutions (ISSAI). All SCs are required to submit their financial statements to the Auditor General within three months of the end of the corresponding fiscal year. The Auditor General is required to audit these and report within six months after the end of each financial year as specified by Article 229 of the

constitution. The auditor general will then submit the audit report and the audited financial statements to Parliament and the Public Investment Committee (PIC) for review and take appropriate action. A key challenge over the past few decades has been the lack of timely completion of and submission of the audits to Parliament. This is problematic because timely and relevant information on SCs is critical for effective decision making and accountability. The Office of the Auditor General (OAG) also does not submit a consolidated audit report to PIC for review, as in the case of Ministries, Departments, and Agencies (MDA) and Counties, but forwards individual audit reports for some SCs only. In addition, due to the large number of SCs, the PIC has not been reviewing all the reports submitted to it. This reduces parliamentary scrutiny, which is important to hold the government's executive branch to account for its SC-related fiscal and expenditure policies and implementation.

The audit reports contain a section on follow-up of auditor recommendations, which is a summary of key issues raised by the external auditor and management comments that were provided to the auditor.

One of the challenges in some SCs has been the ability to track and enforce the timely resolution and implementation of prior audit reports' recommendations. Consequently, most SCs reports continually repeat the same audit issues raised in previous years, with no recourse to the SCs' accounting officers.

The OAG, in some instances, outsources the audit services for SCs, which helps reduce the backlog of audits. This is provided for in Section 23 of the Public Audit Act, which states that for purposes of carrying out his or her functions the Auditor General may outsource audit services from duly registered firms whose partners and staff are not employees of the OAG and the public service to assist in the examination and audit of accounts.

5. Conclusion and Recommendations

This assessment seeks to identify policy reforms and measures to help the government improve SCs' performance and reduce the fiscal risks and costs associated with SCs. The net fiscal costs of commercial SCs (in normal times) is fairly low, whilst the fiscal costs of non-commercial SCs are significant. Between FY2016/17 and FY2018/19, the annual net fiscal cost of commercial SCs was equivalent to 0.08 percent of GDP on average. While the GoK also received revenues from non-commercial SCs, the large volume of subsidies and grants created average annual net fiscal costs equivalent to 3.6 percent (0.4 percent of GDP for funds).

Many of Kenya's commercial SCs had pre-COVID-19 financial performance challenges, which in many cases were compounded through the pandemic. Around one third of commercial SCs made losses in the last three consecutive years. The aggregate operational performance of commercial SCs in FY2019/20 turned negative for the first time in recent years. Several sectors that showed performance improvements in FY2018/19, such as education, trade and tourism, transport and sugar (still loss-making, but reduced), experienced a downturn both in terms of revenue and net profits. Yet, the overall declining performance trend is mainly driven by few large SCs some of which, despite revenue increases, showed reduced profitability due to rising expenses, such as KPLC and KRC.

Fiscal Exposure for the GoK from commercial and non-commercial SCs has consistently and significantly increased in the last five years. The rise in grants and subsidies is attributed to the increasing dependence of non-commercial SCs on such transfers, which accounted for 5 percent of GDP in FY2019/20, whereas commercial SCs have been financing their operations increasingly through government lending and debt guarantees. Total government lending (direct and on-lent) amounted to 8.9 percent of GDP, debt guarantees to 1.5 percent of GDP, and non-guaranteed loans to 1.6 percent of GDP in FY2019/20. The GoK has already started paying some debt service for some commercial and non-commercial SCs. SCs' low and decreasing capacity to absorb further materialization of potential downside risks is generating increased fiscal risks. Some SCs with the largest potential fiscal impact are high risk entities, most of them operating in the energy and transport sector.

The deteriorating financial performance and increasing fiscal risks are compounded by corporate governance and accountability challenges. These include challenges in SCs performance monitoring and oversight including low transparency of SCs' operations and relations with the government, challenges in the internal and external audit functions, as well as fragmentation and implementation gaps of the legal framework.

Government has partially implemented reforms outlined in the Presidential Taskforce Report (2013) that can move SC management and monitoring toward global best practice, but the remaining agenda is significant. The government has made some strong efforts to implement important improvements in SC oversight, such as the creation of the "Mwongozo" governance code. However, many of the far-reaching reforms have not been implemented. As highlighted by the World Bank (2019), SC reforms are particularly challenging because of their political complexity and effects on a multitude of stakeholders. Reforms need to take into account what is politically feasible and institutionally manageable, particularly under COVID-19 crisis and recovery conditions (which, at the same time, introduces urgency and can act as a spur to change). Kenya may thus benefit from a sequenced reform approach that allows to build capacities and confidence over time to build towards far-reaching changes.

Following the main findings, the recommendations to strengthen the performance of Kenya's SCs revolve around: 1) strengthening the legal framework and institutional structure; 2) improving performance monitoring; and 3) enhancing controls and transparency of SCs' operational performance and relations with the government. These three priority reform areas are in line with the staged approach to its SCs reform strategy that the NT is currently developing (GoK 2021). More specifically, this report recommends the following measures for driving these three reform areas forward:

1) Strengthening the legal framework and institutional structure

Implement a clear and standardized classification of SCs among all oversight agencies. There is lack of a clear and consistently applied classification among oversight institutions, departments and reports, which complicates fiscal reporting, impedes transparency, and hampers oversight. The PFM Act and regulations

outline a relatively granular classification of national and county government entities, including SCs. Implementing these provisions among all government institutions builds the basis for a more differentiated and effective oversight regime that takes into account the heterogeneity of SCs, based on their economic nature. Reducing ambiguity in the classification and terminology of SCs used by oversight agencies when monitoring and reporting is critical to increased transparency and accountability, and improved fiscal management.

Address proliferation of SCs and rationalize commercial and non-commercial SCs. In terms of non-commercial SCs, reducing overlapping mandates and duplications in particular could support the GoK's fiscal consolidation efforts, particularly in light of the increasing grants and subsidies to non-commercial SCs – with an annual average rate of 18.5 percent– and their increasing dependence on such transfers in the last five years.. For example, measures to addressing overlapping mandates and consolidating SCs in the education sector could improve the efficiency of public spending on higher education and reduce spending pressures. Moreover, given the declining profitability and increasing financial risks of commercial SCs, exacerbated by COVID-19, and the increasing government lending and debt guarantees to commercial SCs, accelerating the commercial SCs rationalization agenda could help plug losses to the exchequer while increasing overall economic efficiency. A focus could be placed on systematically poorly performing SCs that have recorded persistent losses for an extended period (e.g., the last three consecutive years). In doing so, the government should also take the opportunity to define the role of commercial SCs and their mandate and indicate in which sector the private sector should play a greater role.

Harmonize the legal framework. Harmonize the fragmented and at times inconsistent pieces of legislation, including the various laws establishing SCs, PFM Act 2012 and regulations, and State Corporation Act to provide for a consistent and clear legal foundation for all SCs. A guideline for these processes should be developed and agreed upon.

2) Improve SC performance monitoring

Improve the reliability and timeliness of data as well as analytical capacities. Having more reliable and timely data is key to support sound policymaking, however, it remains a key challenge. Data collection, quality and analysis challenges should be addressed in two complementary ways. First, increase the analytical capacity of NT and the Inspectorate of State Corporations, both in terms of staffing and skills. With limited staff in these offices, analytical capacity is stretched, meaning there is insufficient time and capacity to undertake the complex analysis required to understand large, systemically important commercial and non-commercial SCs (which is necessary to evaluate SCs' funding requests). In addition, training of staff on deeper analytical methods could strengthen the government's ability to deal with the impact of COVID-19 on SCs and achieve better monitoring and oversight over the longer-term. Second, adopt an IT-system to automate and systemize data collection to address the limitations of manual data collection and related challenges, and in order to upgrade financial and fiscal risk monitoring and management and improve the reliability and timeliness of data.

Improve the performance contracting design and processes for both commercial and non-commercial SCs. In this regard, three main considerations should be taken into account: i) define all performance indicators with high precision to ensure that real performance is captured; ii) reduce the number of indicators to only the most relevant ones to ensure a focus on a manageable number of goals; and iii) streamline performance contracting processes by reducing reporting lines and agencies involved, to strengthen enforcement and accountability of performance targets. International good practices limit reporting to no more than one or two institutions. Furthermore, a more coordinated approach may be achieved through requiring reports (including off-performance contracting reports) to be submitted through a common system that the agencies can access based on their responsibility and mandate.

3) Enhance controls and transparency of SCs' operational performance and relations with the GoK.

Increase transparency and comprehensiveness of SC reporting. Ensuring high levels of transparency on SCs' operational performance, as well as on the overall SCs portfolio, improves accountability and is an important enabling factor to prioritize and contain the cost of the government's support to SCs. SCs do not publish financial statements in a timely manner, except for some few large commercial SCs. All commercial and non-commercial SCs and the OAG should publish audited annual financial statements and accompanying reports in a timely manner on their websites. Moreover, the annual aggregate SCs report should provide a more comprehensive picture of the portfolio, by differentiating at least between commercial and non-commercial SCs, and by providing more financial statistics (e.g., information on dividends received by the government from SCs and standardized financial ratios), and information on developments in key industries and the largest SCs. Subsequent annual reports could be further enriched by including information on key issues covered in the performance contracts of major SCs, corporate governance information such as compliance with *Mwongozo*, and a range of other topics.¹⁶ Aggregate reporting is not codified across the world, and actual practices vary considerably across countries, but the OECD Guidelines on the Corporate Governance of SOEs (2015) set out general requirements relating to aggregated reporting. Table 11 provides examples of several countries, including middle-income countries, that produce aggregate reports providing valuable information on the portfolio of their public enterprises.

¹⁶ For example, additional information and topics include: number of employees, and non-financial information, such as the rationale for ownership the SCs' contribution to the national economy and priority projects at the portfolio level, and progress in implementing these.

Table 11: Country examples of aggregate reports

Country	Entity issuing the report	Link to the website containing the report
Bhutan	Government Shareholding Company ("DHI")	http://www.dhi.bt/documents/10180/17712/final+Annual+Report+2016.pdf/2f0d4981-beae-4152-a780-e19ad486991b
Chile	Public Enterprise System ("SEP")	http://www.sepchile.cl/MemoriaSep2016/sep2016/public/
France	State Shareholding Agency ("APE")	https://www.economie.gouv.fr/files/files/directions_services/agence-participations-etat/Annual_Report_APE_2016-2017.pdf
Norway	Ministry of Trade, Industry and Fisheries	https://www.regjeringen.no/en/topics/business-and-industry/state-ownership/statens-eierberetning-2013/the-state-ownership-report/id2395364/
Sweden	Government Offices of Sweden	https://www.government.se/reports/2017/09/annual-report-state-owned-enterprises-2016/
Zimbabwe	State Enterprise Restructuring Agency (SERA)	http://www.sera.co.zw/wp-content/uploads/2014/05/SEPS-Baseline-Data-Report-for-2011-2014-Short-Version.pdf

Source: Authors' compilation

Improve fiscal risk reporting on SCs and expand public debt statistics to include SCs. Improve the quantification of fiscal risks and the comprehensiveness of analysis in the *Statement of Specific Fiscal Risks* in the annex of the annual budget policy statement. A deeper analysis of high-risk SCs, including financial health, debt and key financial risk indicators, and a clear and detailed outline of direct and indirect GoK support and guarantees, will increase transparency on fiscal risk exposure from SCs. A differentiation by type of SC, at least between commercial and non-commercial, would further help gain a deeper understanding of the sources of risks. Improved fiscal reporting is an important risk management element and critical for an informed fiscal planning and budget preparation process. Expanding the coverage of the government's official debt statistics to include SC's debt, as also recommended by the World Bank/IMF Debt Sustainability Analysis, is also merited to enhance the comprehensiveness of the data and strengthen public debt sustainability analyses.

Strengthen external audit and parliamentary scrutiny. Ensure the timely completion and submission of audited financial statements of at least the largest, strategically most relevant, and/or most risky SCs to Parliament. Given the current capacity constraints, the OAG should consider outsourcing more external audits to ensure timely audits and follow-ups, given the increasing number of national and county government owned entities, including SCs. In this regard, increase traceability and the timely implementation of prior year recommendations raised by previous audit reports. Moreover, ensure that PIC reviews all key reports submitted to them, which is important to hold the government's executive branch to account for its SC-related fiscal and expenditure policies and implementation. Considering the PIC review backlog, the Committee should adopt a structured review process, prioritizing reviewing the largest, most strategic SCs, ideally differentiated by type of SCs (at least by commercial and non-commercial). The OAG should also submit audited consolidated financial statement reports to PIC for review, as in the case of MDAs and Counties.

Enforce *Mwongozo* more rigorously and make compliance with it public. *Mwongozo* provides a strong corporate governance framework. SCs compliance with *Mwongozo*, and thereby strengthening boards, is

crucial to ensure effective oversight, SCs' effectiveness in fulfilling their mandates, and increases in their operational efficiency. This includes the full constitution of boards of SCs and assurance that all board members have the required technical and business experience to exercise the full range of responsibilities. Implementation progress on the code should be made public.

Table 12 provides a summary of the priority reforms for improving the performance of SCs and reducing the fiscal costs and risks associated with SCs, organized into short-term (within 1-2 year), medium-term (within 3-4 years) and long-term (5 years onwards) priorities.

Table 12: Priority SC Reform Recommendations

Recommendation	Short/Medium/ Long-term Priority
Strengthening the legal framework and institutional structure	
1. Implement a clear and standardized classification of SCs among all oversight agencies to build the basis for effective oversight of SCs.	Short-Term
2. Address proliferation of SCs and rationalize SCs by reducing overlapping mandates and duplications as well as direct competition of SCs with the private sector to reduce fiscal costs and improve efficiency.	Medium-Term
3. Harmonize the legal framework to provide for a consistent legal foundation for the exercise of oversight functions and its relations with SCs.	Long-Term
Improving SC performance monitoring	
4. Improve reliability and timeliness of data as well as analytical capacities for improved performance and risk monitoring: • Adopt an IT-system to automate and systemize data collection. • Increase the analytical capacity of oversight institutions.	Short-term
5. Improve the performance contracting design and processes: • Define all performance indicators with high precision to ensure that real performance is captured. • Reduce the number of indicators to only the most relevant ones. • Streamline performance contracting processes by reducing the reporting lines and agencies involved.	Short-term
Enhance controls and transparency of SCs' operational performance and relations with the government	
6. Increase transparency and comprehensiveness of financial and fiscal reporting on SCs: • Publish audited annual financial statements of SCs and the OAG in a timely manner. • Improve annual aggregate reporting to provide a transparent picture of the SC portfolio. • Improve fiscal risk reporting on SCs and expand public debt statistics to include SCs.	Short-term
7. Strengthen external audit and parliamentary scrutiny. • Increase OAG's outsourcing of external audits of SCs to reduce backlog. • Ensure the timely completion and submission of audited financial statements to PIC. • Share audited consolidated financial statements report with PIC and ensure PIC reviews all reports received to hold the government to account for its SCs related policies.	Short-term
8. Enforce <i>Mwongozo</i> more rigorously and make compliance with it public.	Short-Term

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7. Annex

Annex 1: Profitability Ratios of Commercial SCs

Ratio	FY2017/18	FY2018/19	FY2019/20
Net Profit Margin	9.04%	4.31%	-2.45%
Cost Recovery	219.70%	228.60%	-
ROA	1.59%	0.71%	-0.37%
ROE	5.44%	2.49%	-1.42%

Source: World Bank staff calculations based on data provided by NT

Annex 2: The 10 Commercial SCs with the largest net profits in FY2019/20

	State Corporation	in Ksh million	% of total net profits	Sector
1	KENYA ELECTRICITY GENERATING COMPANY	10,543	32.0%	Energy
2	KENYA PORTS AUTHORITY	8,178	24.8%	Transport
3	KENYA PIPELINE COMPANY	5,846	17.7%	Energy
4	KENYA REINSURANCE CORPORATION	3,966	12.0%	Financial
5	GEOTHERMAL DEVELOPMENT COMPANY	1,576	4.8%	Energy
6	KENYA MARITIME AUTHORITY	761	2.3%	Transport
7	KENYA SEED COMPANY	467	1.4%	Agriculture
8	INDUSTRIAL AND COMMERCIAL DEVELOPMENT CORPORATION	414	1.3%	Trade and Tourism
9	AGRICULTURAL FINANCE CORPORATION	289	0.9%	Agriculture
10	KENYA AIRPORTS AUTHORITY	280	0.8%	Transport

Source: World Bank staff calculations based on data provided by NT

Annex 3: Main Debtors to GoK, FY2019/20

State Corporation	Total Outstanding GoK loans	Guaranteed Debt	Net income	Net Worth	Debt-Asset Ratio	Current Ratio	Cost Recovery	Sector
KRC	539,270	-	-24,178	634	99.9%	0.27	5.52	Transport
KenGen	87,904	41,186	10,543	213,277	48.5%	1.77	1.98	Energy
KBC	76,034	-	-9,790	2	100%	1.64	0.52	Communication
KPLC	49,238	-	-2,983	52,683	84%	0.35	2.99	Energy
Nzoia Sugar Company	42,380	-	-3,483	-45,035	469%	0.03	1.02	Sugar
KPA	37,386	39,374	8,178	187,623	36%	1.18	1.37	Transport

Source: World Bank staff calculations based on data provided by NT

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